

From Spending Evidence to an Adaptive Rate

Taxlane

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Abstract

This paper documents the transition from Taxlane’s spending-admission result to its internal ordinary-income rate recommendation. Zero admitted FY2026 primary spending reduction [NUM-03] leaves a frozen \$813.727 billion model target [NUM-04]. Taxlane tests fourteen uniform rate uplifts [NUM-05] under three taxable-income response cases and three internal macro-stress values. It selects a preferred central schedule, identifies a behavior-robust contingency, and reports a severe stress ceiling. The method separates recommendation from sensitivity and bracket rates from individual liability.

The schedules contain marginal rates—rates applied only to taxable income within each bracket, not one person’s effective rate. Evidence keys route to the EXPL-A ledgers. The fiscal object is a one-year ordinary-income model target, not total receipts/outlays, trust-fund solvency, borrowing, or formal balance [CLM-11, CLM-12].

1. Input discipline

The rate step begins only after the fifteen-track admission pass. The frozen inputs include zero admitted primary spending reduction, zero additive PAY contribution, no direct NET cut, a \$0.077 billion administration ceiling, and a \$813.727 billion FY2026 revenue target on the ordinary-income model rail [NUM-04, NUM-10].

The target is not an official government requirement or the whole federal budget. It is the amount Taxlane’s defined experiment seeks to cover after its admission decisions.

2. Model and grid

The experiment uses Tax-Calculator 6.5.1 with the bundled CPS tax-unit file for tax year 2026. It applies uniform percentage-point uplifts to seven model bracket rates. Fourteen uplifts are tested [NUM-05]. Each is evaluated under substitution-elasticity cases of 0.15, 0.25, and 0.35 [NUM-21], producing forty-two behavior cases [NUM-06].

Taxlane also combines each behavior case with macro stresses of 0, -2.5, and -5 percent [NUM-22]. These values are deliberately adverse internal sensitivities, not forecasts. The combined grid therefore has nine stress cases per candidate.

3. Central recommendation

The selected 11.0-point uplift [NUM-07] yields marginal model rates of 21/23/33/35/43/46/48 percent [NUM-08]. Its central first-year cash proxy is \$819.220 billion [NUM-09]. After the \$0.077 billion administration ceiling [NUM-10] and stated debt sensitivity, its central gap is \$5.416 billion [NUM-11]. The ceiling is not a complete taxpayer, employer, preparer, enforcement, avoidance, or transition-burden model.

Taxlane selects this tier because it is the smallest tested one-decimal uplift that clears the frozen central case. That selection rule embodies a policy objective: satisfy the target in the central case while minimizing the tested uniform uplift. It is not the only possible objective.

4. Contingency and stress

The 12.0-point uplift [NUM-12] yields 22/24/34/36/44/47/49 percent [NUM-13]. It is the smallest tested schedule covering all three behavior cases without additional macro stress. Taxlane labels it a behavior-robust contingency rather than the central recommendation.

The 12.6-point uplift [NUM-14] yields 22.6/24.6/34.6/36.6/44.6/47.6/49.6 percent [NUM-15]. It is the first tested schedule covering all nine combined adverse cases. The worst- case model gap is \$3.094 billion [NUM-19]. Taxlane labels this a severe internal stress ceiling, not a baseline or forecast.

5. Bracket rates are not tax bills

A marginal rate applies only to taxable income within a bracket. An effective rate compares total tax with a defined income measure. The grid does not provide thresholds, filing statuses, deductions, credits, payroll taxes, withholding, refunds, or a legislative transition. It cannot calculate an individual's liability.

The model reports distributional summaries, including the central mean tax change, after-tax-income change, and top-decile share, but these do not replace a complete distribution and incidence design for legislation. Tax-unit results also do not by themselves establish employer, preparer, enforcement, avoidance, or administrative effects. The bundled CPS analysis also does not establish statutory incidence, family transitions, geographic effects, or the full shifting of tax burdens through wages and prices.

6. Timing and cash

Taxlane converts full-year model output to a first-year cash proxy using a 0.774223895 realization ratio [NUM-20]. A cash proxy is not a conventional score. Fiscal- year receipts, tax-year liability, withholding, refunds, implementation timing, and behavioral response have distinct bases.

The \$5.416 billion central gap [NUM-11] is likewise a model result, not proof of exact balance. Rounding, specification, legal drafting, macro response, debt timing, and unmodeled compliance can change it.

7. What adaptation means

“Adaptive” means analytically recomputable; it does not mean rates change automatically or without legal authority. The recommendation can be recomputed when admitted spending paths, targets, model inputs, behavior assumptions, or objectives change. Any actual rate, base, bracket threshold, effective date, or appropriation remains a legal and political decision outside Taxlane’s authority.

8. Limits and responsible use

The experiment is one-year and internal. It is not an official JCT/CBO score, ten-year budget path, long-run solvency proof, legislative specification, or tax advice. The preferred tier should not be presented without the contingency, stress, model-basis, marginal-rate, and authority disclosures.

Within those limits, the method supplies a reproducible connection between an evidence-gated spending decision and a transparent revenue sensitivity ladder.

Evidence

1. data/derived/breadth_benchmark_matrix/rev_internal_analysis_baseline_freeze.v1.draft.json
2. data/derived/breadth_benchmark_matrix/rev_internal_rate_sensitivity_grid_run.v1.generated.
3. data/derived/breadth_benchmark_matrix/rev_internal_rate_sensitivity_grid_extension.v1.gene
4. data/derived/breadth_benchmark_matrix/rev_internal_rate_candidate_analysis.v1.generated.js
5. data/derived/breadth_benchmark_matrix/rev_internal_rate_analysis_completion.v1.draft.json
6. experiments/rev-level-3-taxcalc/run_grid.py
7. experiments/rev-level-3-taxcalc/analyze_grid.py